WRITTEN FOR THE PEOPLE WHO SIGN THE DEALS

The Middleman's Cut



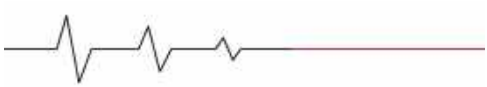
The leadership playbook to stop the middlemen bleeding your employee health plan dry.

"You have more power than you think."

— MARK CUBAN

NAUTILUS

STEVE DITTO



Author's note: This book draws on Mark Cuban's own public comments, used with his permission. His words run throughout, with each quote sourced in the Bibliography. Mark did not write, co-author, or review this book. The case against the middlemen is his. The work of turning it into something you can act on is mine.

— Steve Ditto

Foreword

Healthcare's Hidden Profit Machine

Middlemen are everywhere in healthcare. Between you and the pharmacy. Between you and the hospital. Between you and every service your employees need. They take their cut at every step, and most of them have convinced you it's necessary.

It's not.

Let me tell you how I found out. I had the same benefits consultant for years. I thought he was doing a great job. Then I compared what we were paying for generic medications to what

Cost Plus could sell them for. What we spent $169,000 on, we could have purchased for $19,000.

I looked in the mirror and said, "Mark, you are one dumb ass." Because I signed that deal. I trusted him. And I was the one getting played.

I'm not here to sell you on Cost Plus. Buy from whoever you want. If we're cheaper, use us. If we're not, don't. What I am here to do is tell you what I found when I finally looked under the hood.

Healthcare is a very simple industry made complicated. The complexity isn't driven by better care. It's driven by the pursuit of margin dollars. In a $4.9 trillion system, wherever anybody can arbitrage whatever they can out of it, that's exactly what they're going to do.

Insurance companies are the worst of the worst. They design high-deductible plans someone with a take-home pay of $25,000 can't afford, and then you're stuck with the financial risk. Want another reason why healthcare costs are insane? Hospitals will not only charge a facility fee and other random costs. If they believe the insurance company is willing to pay more than what was on the patient bill, they will increase the bill to the insurance company.

Of course the insurance company then charges the self-insured employer the higher amount. Most insurers aren't insurers. They are holding companies that arbitrage capitated systems and self-insured employers, looking for weaknesses and lack of contract enforcement.

There is something else CEOs need to hear. For years I focused on PBMs as the villain. I was wrong to focus on them in isolation. The greatest trick the insurance companies ever played was putting the PBMs out there to take all the hits and pushing people to ignore everything else they're doing.

Realize that the biggest PBMs are owned by the biggest insurance companies. They are too big to care. Employer, patient, state, hospital, physician. If they can charge you, they will.

Our healthcare has become a game of who can rip off who and get away with it. Too Big To Care. All of it.

Here is something every CEO needs to hear. Every CEO loves those fat rebate checks. Oh, that goes on my balance sheet. That looks so good. But those rebates are paid by your sickest employees. Not by drug companies. By your own people. Somebody making $30,000 after taxes can't afford a $2,000 deductible before their insurance kicks in. They're rationing their meds. They're getting sicker.

And nobody in the C-suite knows it's happening. That's not leadership. That's negligence. If you signed the deal, it's your responsibility. This is your problem, not your benefits team.

If you accepted the rebate, you should understand who funded it. If a supplier profits when employees get sicker, you should ask why you tolerate that relationship. If your insurance carrier is gaming you the same way, why are you still doing business with them?

I got tired of it. First I fixed it for my own companies. Then I built Cost Plus to prove the model works for anyone.

I hear the excuse all the time. We don't have leverage. We can't fight the big players.

That excuse doesn't hold up. If you moved tomorrow, the industry would change overnight. You have more power than you think. You control tens of millions of covered lives. Demand transparent pricing, clean contracts, and basic accountability.

They haven't changed because too many leaders assume someone else is paying attention.

Here's what I've found: they're doing what you expect them to do. They're trying to maximize their earnings. We're the schmucks allowing it to happen.

Once you see how the system works, you can't unsee it. Once you understand where the money flows, continuing the status quo becomes a choice. And choices have consequences.

At a recent healthcare summit, I told the lawmakers in the room: Don't be a wimp. Seriously. Until you break those companies up and make them divest their non-insurance assets, they own your healthcare.

The same applies to every CEO. You signed the contract. You see how the system works. The only question is whether you will be the one to do something about it.

So where do you start? Not at the top. The insurance companies sit at the top, but you don't open a fight there. You open it where the math is clearest and the wins come fastest. That's pharmacy. It is 20% to 30% of your healthcare spend, and it is where the games are most obvious and the fixes most proven.

Everybody told me you can't fight the big PBMs, the insurance carriers, the whole system. I said, fine. I just won't work with them. I'm not going to do it their way, because their way isn't aligned with patients.

That is where I started. Cost Plus Drugs first. Then Cost Plus Wellness for direct contracting with providers. Then hospital pricing. Same playbook, scaled up.

Pharmacy first, because once you see how that game is rigged, you can spot the same plays everywhere else. The same dynamics corrupting pharmacy benefits corrupt medical benefits. The same opacity. The same misaligned incentives. The same complexity designed to prevent oversight.

This is literally the easiest industry to disintermediate I have ever been involved with.

Start where the math is the clearest. Then keep going.

About This Work

The Middleman's Cut was produced with the support of the Nautilus Health Institute, a 501(c)(3) nonprofit with no financial relationship to any pharmacy benefit manager, insurer, or benefits vendor. Nautilus exists to help employers meet their fiduciary duty and rebuild health plans that serve the people who depend on them, an industry that has extracted too much from too many for too long. The employers who have already made this transition were willing to share what they learned. Their results are documented, the path is marked, and the resources to follow it are available to any employer ready to begin.

A Note of Appreciation

To Mark Cuban, for refusing to look away. For three years of blunt, public testimony to rooms that didn't always want to hear it. And for putting the responsibility exactly where it belongs:

"You have more power than you think."

THE LEADERSHIP CASE

Once you see it, you can change it.

Mark Cuban talks about healthcare's middlemen everywhere he can find a microphone: to employers, on podcasts, in front of Congress. Always blunt, always on message. Employers pay far more than they should to middlemen most executives have never heard of.

The Middleman's Cut pairs Cuban's plain-spoken case with a fiduciary playbook a board can act on. It speaks to the people who set priorities and sign the deals. It reads like a leadership book, because it is one.

The duty is real. The fix is practical. And the questions inside make the conversation easy to start.

A billionaire talking candidly to other executives opens doors. The book gets read in rooms a benefits memo never reaches, and starts the conversations that improve benefits for employees and their families.

Read it. Then put it in front of your board.

> Fewer than **1 in 8** PBM contracts meet fiduciary standards. Employers who act are recovering **20% to 30%** of pharmacy spend, and returning it to wages and benefits.

STEVE DITTO is a healthcare executive with 30 years of experience across health plans and health systems. He advises the Nautilus Health Institute on its Contract X-Ray methodology. *The Middleman's Cut* draws on Mark Cuban's public commentary, used with his permission.